

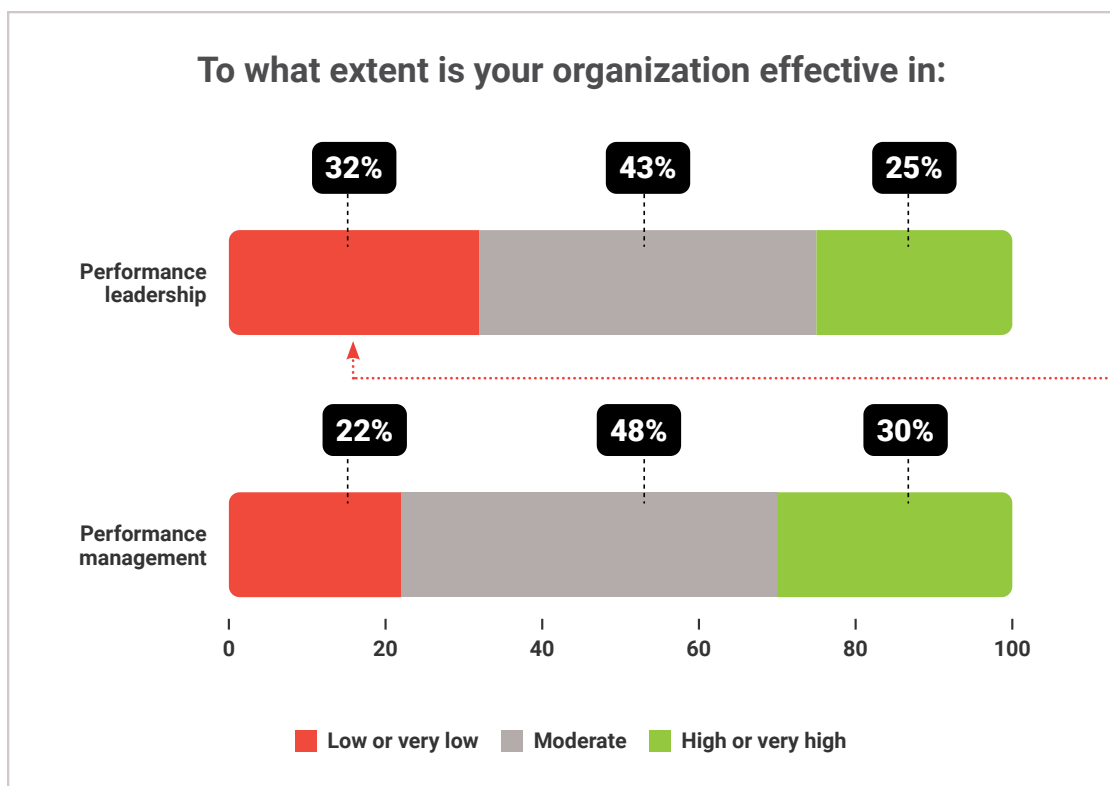
Performance Management and Performance Leadership



Finding: Fewer than a third rate their organization highly in performance management, and even fewer say the same about performance leadership

Even though organizations have had performance management processes for decades, just 30% say it is effective to a high or very high extent in their organization. Performance leadership rates somewhat worse. Only 25% say it is highly or very highly effective, and almost a third say it has low or very low effectiveness.

This lack of effective performance is an ongoing problem. In 2024, [Gallup reported](#) that only 2% of CHROs strongly agree their performance management system inspires employees to improve, and Deloitte's 2025 [Global Human Capital Trends study](#) found that 61% of managers and 72% of workers could not say they trust their organization's performance management process.



Almost one-third say their performance leadership is effective to a low or very low extent

Editor's Note: In the original data, 3% to 4% of respondents stated that they "don't know." For the purpose of this graph, we removed those responses and recalculated. The percentages shown are based on the remaining respondents who provided a substantive answer.

Performance management and leadership-based cohorts

To better analyze the data from our survey on managing and leading performance, we broke our respondents into groups based on responses to an option in the survey question cited above.

- **Performance management (PM) leaders:** respondents who answered the question "To what extent is your organization effective in performance management and performance leadership" as high and very high.
- **Performance management (PM) laggards:** those who answered the same questions as moderate, low, or very low degree.

Within the PM leader and laggard sections, we will reveal findings that come from the examination of the data in a way that identifies correlations between various organizational factors and the perceived effectiveness of leading and managing performance. Correlation does not prove causation, of course, but it may point our attention toward possible best practices and potential strategies.



Finding: Just 14% strongly agree that their organization's culture is conducive to performance leadership

Almost three-fifths of respondents agree or strongly agree that their culture supports performance leadership. What does a non-supportive culture actually look like in practice? Often, it's not outright opposition but a gap between stated enthusiasm and follow-through. Lena Finch, Vice President of People & Culture at Allego, observes this pattern around learning and development:

"There is a lot of excitement and support for learning and development programs, and people genuinely want to participate. The challenge is that everyone is working hard and managing demanding day-to-day priorities, so development can easily get sidelined. When participation does not match this enthusiasm, it becomes discouraging and highlights the need to create more space and accountability for learning."

— **Lena Finch**

Vice President of People & Culture at Allego

The disconnect can also be traced to disconnected systems, as Edie L. Goldberg, President & Founder at E.L. Goldberg & Associates, points out, "Organizations encourage performance leadership, they support it, but their systems don't support it in total. They give lip service to it rather than embedding it in how they operate."

Together, Finch's and Goldberg's observations suggest that a non-supportive culture often is one where encouragement exists, but there aren't the systems or follow-through to back it up.

For the purpose of this report, large organizations have 1,000 or more employees, midsize organizations have 100 to 999 employees, and small organizations have 99 or fewer employees.

By Organization Size

Small organizations are the most likely to strongly agree that their culture supports performance leadership (24%), compared with 9% of mid-sized and 13% of large organizations. However, 90% of small organizations say managers lack the time to lead performance effectively, versus just 44% of large organizations. Large organizations are much more likely to identify managers' coaching and development skills as the main barrier (89%).



Editor's Note: In the original data, 3% of respondents stated that they "don't know." We removed those responses and recalculated, so this only shows percentages for those who answered the question substantively.



Finding: More than three-quarters cite lack of leadership training as a key cultural barrier to performance leadership

Among organizations that do not have a culture conducive to performance leadership, lack of leadership training and development (77%) remains the biggest barrier. A large proportion also say managers lack the skills to coach and develop employees (74%), managers lack the time to effectively lead performance (71%), and there's resistance to change from employees or management (71%).

But these training and time gaps may just be symptoms of a bigger root cause, that is, who gets chosen to manage in the first place.

Catarina Edlund, Chief of HR, UNFCCC (United Nations Framework Convention on Climate Change), says:

"The real failure in performance management happens earlier in the HR process, at recruitment or promotion. We're not testing for growth mindset or whether someone is genuinely interested in developing other people. That's core to being a manager and a leader, and it often gets missed."

- Catarina Edlund

Chief of HR, UNFCCC (United Nations Framework
Convention on Climate Change)

In other words, organizations may be trying to train people into skills and dispositions they were never screened for to begin with.

Edie L. Goldberg adds, "It's the fundamental failure to select for the right attributes for a manager—someone who has the skills and the interest in doing the managing part of the job." The consequence shows up in how managers' time gets spent, she goes on to say, "Managers spend 90% of their time in individual-contributor parts of the job and only 10% managing. It's just the wrong math."

Given that organizations may face multiple, compounding barriers to successful performance leadership, it will be important to diagnose what sort of interventions, whether in training, in workload, or further upstream in hiring and promotion criteria are needed to overcome enough of these issues to drive a meaningful shift in culture.

What do you think are the main impediments in creating a culture that promotes performance leadership in your organization? (select all that apply)



Nearly three-quarters say managers lack the skills to coach and develop employees

HRRI Strategic Recommendations

Based on our research, please consider the following suggestions:

1. Tackle multiple barriers at once, not just the most visible one.

Performance leadership rarely stalls for a single reason. When several barriers are working against it simultaneously, a response aimed at just one won't be enough to shift the needle. Design interventions broad enough to address the real mix of obstacles at play.

2. Push top leadership to back the important work.

Culture-building and leadership development are easy to deprioritize when they compete with whatever feels most pressing in the moment. Senior leadership needs to actively protect space for this longer-term work, or it will keep losing out to short-term demands.

3. Close the gap between stated culture and actual follow-through.

Almost 60% agree their culture supports performance leadership, but only 14% strongly agree, and the gap often isn't opposition so much as encouragement without systems or follow-through to back it up. Audit whether your systems and workload actually reinforce the growth mindset the organization claims to value.